
GRUPO
BIMBO
NOURISHING A BETTER WORLD
Investor Presentation
Third Quarter 2020

Grupo Bimbo Today

Control Group: 76%
Float: 24%

US $8.7 Bn
MARKET CAP[1]

US $15.2 Bn
NET SALES[2]

US $2.0 Bn
ADJ. EBITDA[3]

33
COUNTRIES

197
PLANTS

+53,000
ROUTES

+2.8 M
POINTS OF SALE

1,700
SALES CENTER

+135,000
ASSOCIATES

+100
BRANDS

+13,000
PRODUCTS



"We are the global leader in the baking industry and a growing player in snacks"

Argentina
Brazil
Canada
Chile
China
Colombia
Costa Rica
Ecuador
El Salvador
France
Guatemala
Honduras
India
Italy
Kazakhstan
Mexico
Morocco
Nicaragua
Panama
Paraguay
Peru
Portugal
Russia
South Africa
South Korea
Spain
Switzerland
Turkey
Ukraine
United Kingdom
United States
Uruguay
Venezuela

(1) As of September 30th, 2020. Expressed in US at the FX of $22.11 Ps./US. (2) LTM Net sales and Adjusted EBITDA with IFRS16 effect were Ps. $321,985 million and Ps.$43,199 million, respectively. Converted to US dollars using an average FX rate of the period of $21.12 Ps./US. (3) Adj. EBITDA: Earnings before interests, taxes, depreciation, amortization, Multiemployer Pension Plans (MEPPs)

Leading Brands Across our Markets

NORTH AMERICA

U.S.



CANADA



MEXICO



LATIN AMERICA



EAA



Global Leader in the Baking Industry

North America[1]

25.9K Associates
78 plants

Market share leader within **8 categories**

Canada
Sliced bread
Bagels
Snack cakes
Tortillas

USA
Sliced bread
Breakfast
Premium bread
Buns & rolls

EAA[3]

12.5K Associates
49 plants

Top 3 market share within 7 categories in most countries[4]



Mexico

76.6K Associates
38 plants

Market share leader within **8 categories**

Sliced bread
Buns & rolls
Sweet baked goods
Snack cakes
Toasted bread
Flatbread
Tostadas
Bars

Latin America[2]

20.7K Associates
32 plants

Market share leader in sliced bread and buns & rolls

Figures for the last twelve months ended as of September 30, 2020. Market share information from Nielsen, IRi and Company Information for the countries and categories where Grupo Bimbo participates.
(1) Includes operations in the U.S. and Canada. (2) Includes operations in Central and South America. (3) Includes operations in Europe, Asia and Africa.
(4) Buns and rolls category excludes U.K and India. Cakes excludes China, Morocco and U.K., Bagels only in the UK market. and Confectionery by a distributor

Global Undisputed Baking Industry Leader

GRUPO BIMBO represents 4.2% of the US $473 Bn Global Baking Industry[1]

Over 1.2x second player, Mondelez & 3.5x third player, Campbells' Soup[1]

Artisanal and Private labels representing 46% of industry sales[1]

Industry Fundamentals[2]

- Highly fragmented industry

Average Growth 2014-2019

4.2%

Average Growth 2019-2024

4.8%



Industry Performance

- Resilience to economic downturns
- Europe & North America: largest contributors to industry revenue in 2019
- North Asia: rising income levels and changing diets to bread

Industry Structure

- Mature Life Cycle
- Increasing Regulation Level
- High Competition Level
- Medium Technology Change
- Low Revenue Volatility
- Low Barriers to Entry

Industry Outlook

- Expected Growth from BRIC[3] Countries
- US market: organic and gluten-free baked goods
- Western Europe: whole grain and high-fiber breads
- Consumers becoming more health-conscious and busy looking for snacks

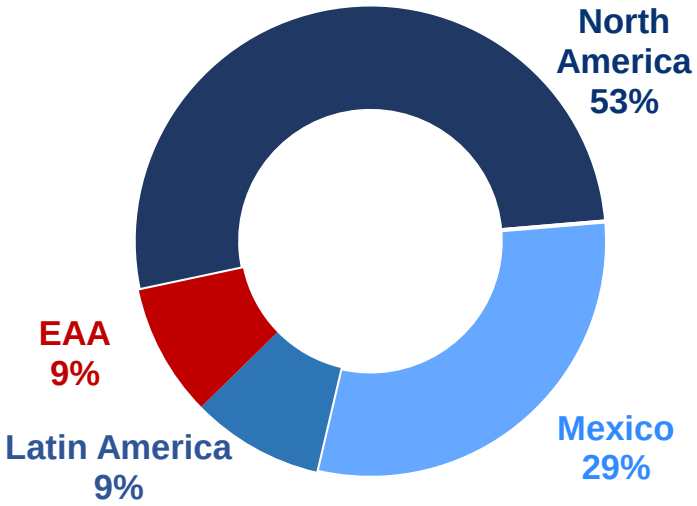
High Growth Momentum in Snacks: Increase in demand for packaged single-serve 100-calorie portions, that can easily be consumed while on the move

(1) GlobalData as of 2019, includes Bread and Rolls, Sweet Biscuits (cookies), Savory Biscuits (crackers), Morning Goods, Cakes, Pastries & Sweet Pies
(2) Industry Fundamentals, Performance, Structure & Outlook: IBISWorld, Global Bakery Goods Manufacturing, January 2020 edition (3) Brazil, Russia, India and China

Our Strong Presence and Diversification

By Geography

Sales by Geographic Region



We have one of the world's **largest DSD networks**

Our distribution fleet travels every day the equivalent of

104 laps

around the world

By Categories & Products



By Channel

Retail

Supermarkets, convenience stores, among others

Traditional

"Mom & pops"

QSR

Quick Service Restaurants

Others

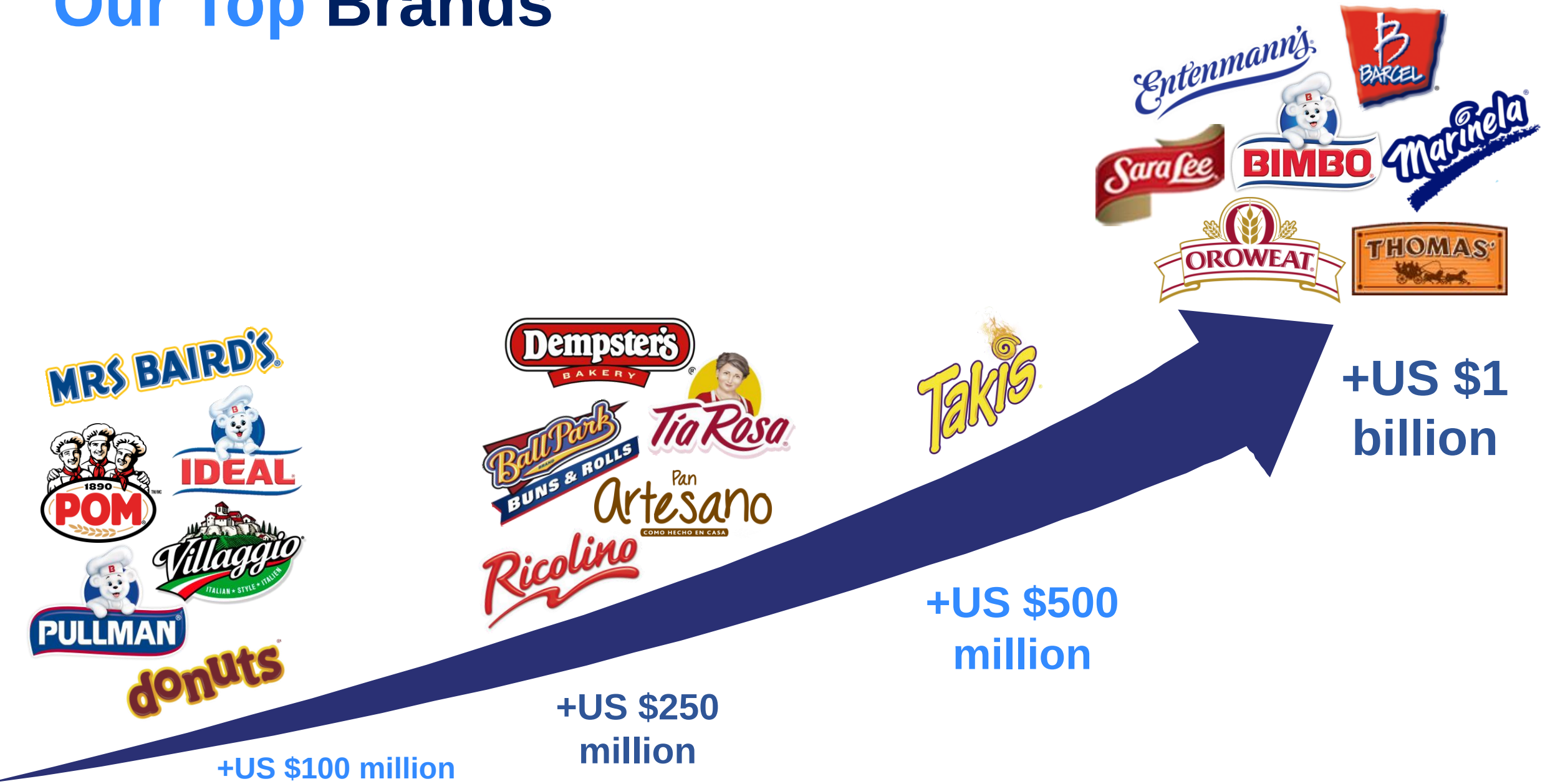
Foodservice, wholesale, and vending channels, among others

+1.1 mm

daily store visits

Figures for the last twelve months ended as of September 30th, 2020.

Our Top Brands



Source: Internal information on estimated retail sales by brand considering the last twelve months as of September 30th, 2020

Extensive Markets Knowledge Drives Global Expansion

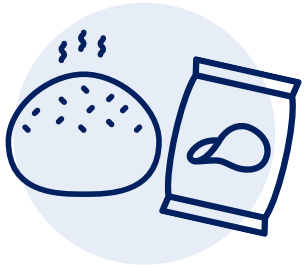
Success Drivers

- Scale and global diversification
- Distribution efficiencies
- Strong brand equity
- Innovation capabilities
- Product quality



Last updated: September, 2020

Our Recipe for Growth and Transformation



Serve our consumers with **Great Products**



Expand our **Brand Penetration**

Capture Large and Actionable **Growth Opportunities**



Scale-up our **Go-to-Market Strategy**





Streamline our **Supply Chain Costs**



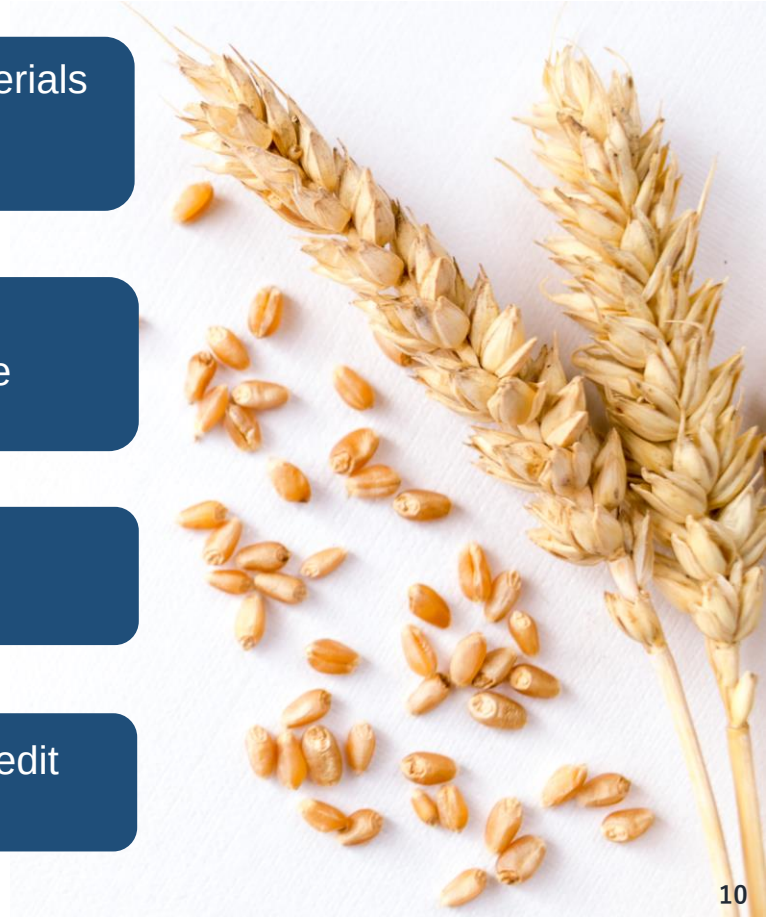
Nourish a Better World

SG&A Reduction



Successfully Navigating New Challenges

	COVID-19 INITIATIVES
ASSOCIATES	Update of personal protective equipment Flexibility to do remote work until 2021
SUPPLY CHAIN	Close communication with our main suppliers of raw materials Prioritizing high volume, fast moving SKUs Reopened Hazelton Bakery, US
CHANNELS	Continued high demand in the retail channel Weak volumes across foodservice and convenience Sequential improvement in the QSR business
COMMUNITIES	Global donations to foodbanks and foundations
FINANCE	Prepaid US $200 million of our committed revolving credit facility



Continuously Adapting to New Consumption Trends

Shift to “at-home” consumption

Gained market share in our breakfast and buns & rolls categories in North America



E-commerce as a new purchasing habit

amazon fresh · Uber · Rappi · ocado

Recipes of our products available in different food delivery platforms

Developing an e-commerce organizational structure

Snacking and Premium products

New mini presentations of our products



(1) *Source: BofA, Food Basket Barometer | Barclays, How COVID-19 Could Change the U.S. Consumer | Internal Information*

Innovation: Our Key to Success

A brand of ancient ingredients



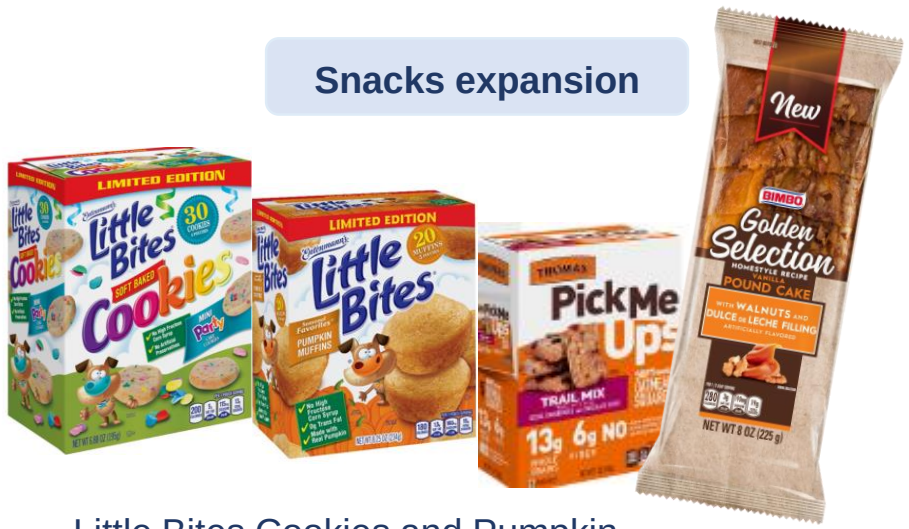
Salmas chipotle and 5 grains

Continued expansion of clean label & compostable packaging



ABO Clean Label Launch

Snacks expansion



Little Bites Cookies and Pumpkin

Natural and simple ingredients



Oroweat
No Added Nonsense
Stonemill Plant Based Protein Bread

No preservatives and artificial colorants added



Relaunch LBE “6 ingredientes”

Organic bread



Baked, Not Fried

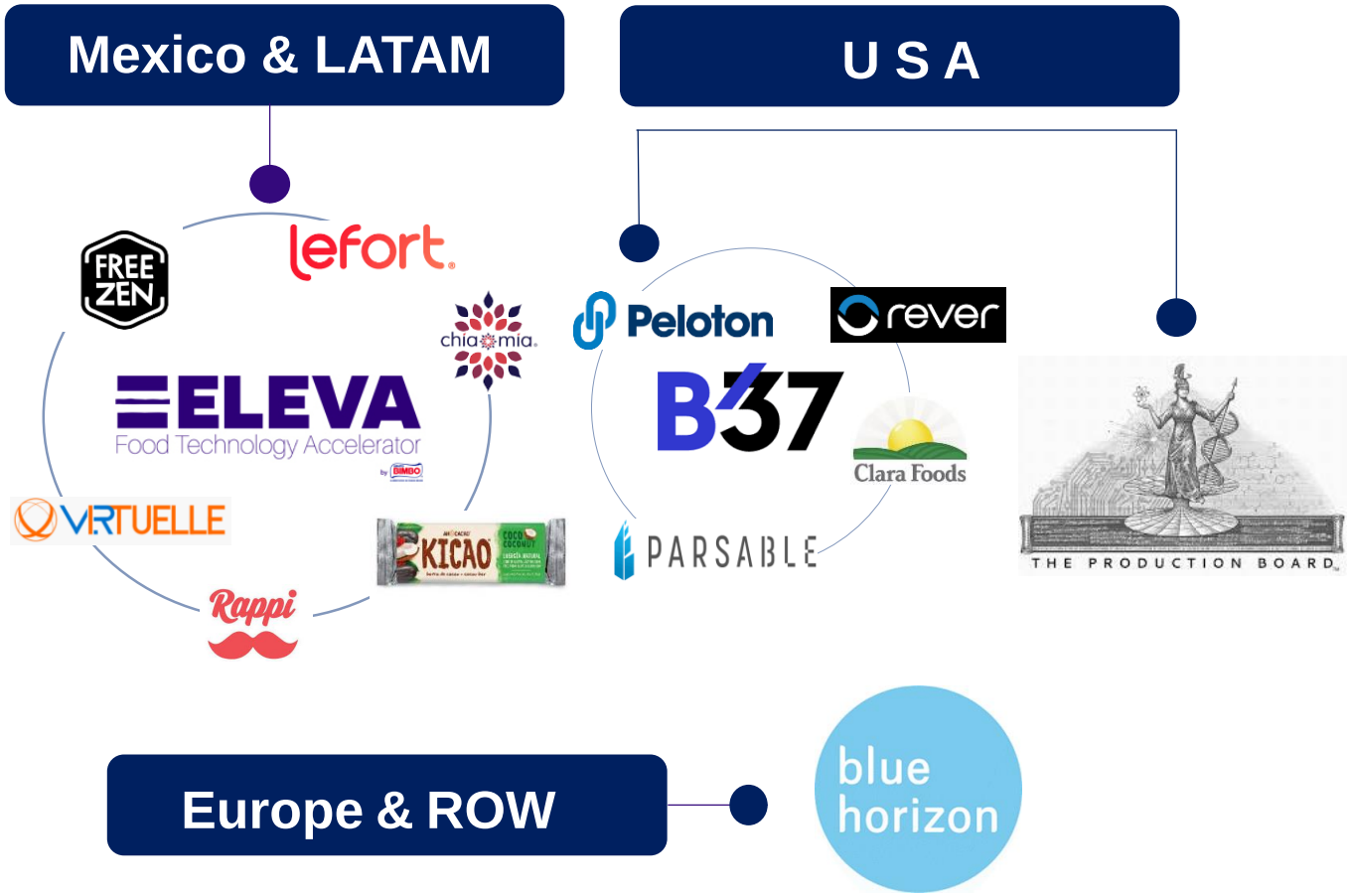


UMO Launch in Canada

Our Innovation Platform

GRUPO BIMBO | VENTURES

Investment in **promising start ups**



acelerada

- Streamline and digitize our **supply chain**
- Transforming our **distribution models**
- Engaging in disruptive **product innovation**
- Identifying and leveraging **new technologies** for business improvement

Our Environmental & Sustainability Approach

Environmental Strategy



Sustainability

Renewable Energy

- **85% in Mexico,** 100% in U.S
- In Chile, we have the **largest solar roof** in South America
- **Piedra Larga Windfarm, supplies 70% of the electric power** used in Mexico, preventing the emission of 180,000 tons of CO_2 per year

Electric Vehicles

- **667 electric vehicles** and around 2,000 that use alternate fuels
- Development of electric units by **Moldex**, a Grupo Bimbo affiliate

Compostable Packaging

- **Vital Bread** is the first compostable package in Latin America
- **Reduced +446,000 kg**, a total of 3.3 million kgs in the last 10 years

2025 Goals

100%
RENEWABLE ELECTRIC POWER



+4,000
ELECTRIC VEHICLES

100%
RECYCLABLE, BIODEGRADABLE, OR COMPOSTABLE PACKAGING



-50%
FOOD WASTE IN OPERATIONS

100%
CERTIFIED AND SUSTAINABLE SOURCES OF PAPER AND BOARD

Work for a Better Tomorrow with Actions Today

GRUPO BIMBO
NOURISHING A BETTER WORLD

ELECTRIC VEHICLES
FOR A CLEANER FUTURE

We have one of **the largest** **electric fleets** in Latin America

We currently have **667 electric** **delivery vehicles, globally**

By 2024, we intend to own more than **4,000 units,** in Mexico



Its battery is recharged with electricity from the **Piedra Larga** **Wind Farm** **and our** **Solar Panel** **systems**

173 **of our vehicles** have an SCR system, which transforms NOx polluting gases into nitrogen and water vapor

Leading Company in Corporate Responsibility & Governance

COMMITTEES

Steering Committee

Name	Role
Daniel Servitje	CEO
Diego Gaxiola	CFO
Javier González	Executive VP, GB
Rafael Pamias	Executive VP, GB
Gabino Gómez	Executive VP, EAA
Raúl Obregón	Chief Information & Transformation Officer
Juan Muldoon	Chief People Officer
Miguel Ángel Espinoza	President, Bimbo Mexico
Alfred Penny	President, BBU

Audit and Corporate

Finance and Planning

Evaluation and Results

BOARD OF DIRECTORS

38% are independent



For the fourth consecutive year, Grupo Bimbo was at the top Merco's ranking and was recognized as the Company with the

Best Reputation in Mexico

CULTURE OF ETHICS

- **Global Integrity Policy**: stipulates our position of Zero Tolerance for any lack of integrity
- **Risks Assessments:** periodically conducted everywhere we operate
- **Public Policy:** we do not make in-kind or monetary contributions to political parties and/or representatives

3Q20 Results

Highlights

- Posted record **Net Sales of Ps. 85,800 million, a 14.6% increase**, due to outstanding volume growth in North America and FX rate benefit
- **Adjusted EBITDA[1] reached record levels for a third quarter**, a 17.9% growth and a 40 basis point margin expansion
- **Net Majority Income increased 85.4%,** and the margin expanded 160 basis points
- **Cumulative Free Cash Flow[2]** totaled Ps. $13.4 billion



(1) *Earnings before interests, taxes, depreciation, amortization, and MEPPs*
(2) *Free cash flow for the first nine months ended September 30, 2020 before dividends and share buybacks.*

Virtual Global Energy Race
BIMBO
2020

#RUNWITHUS

Recent Events

- Announced the **cancellation of 169,441,413 shares** held in treasury**,** nearly 4% of its total shares outstanding
- Organized virtually the **2020 Global Energy Race**, and due to everyone's participation, more than 6 million slices of bread will be donated to food banks in host cities
- Acquired the majority stake in its JV partner, **Blue Label Mexico**, committed to provide an electronic platform to small merchandisers in Mexico

Well Positioned to Succeed in the New Normal

1 Cash flow generation and preservation

"Cash is King" Strategy

Cumulative Gross Cash Flow was 2.7x higher when compared to the same period of the last year

2 Grow with moderate leverage

Net Debt / Adj. EBITDA Ratio: 2.2x

3 Improve working capital

OWC improved by 2 days over the same period of 2019, equivalent to MXN $1.8 Bn

4 Maintain a conservative debt profile

Next maturity until January 2022



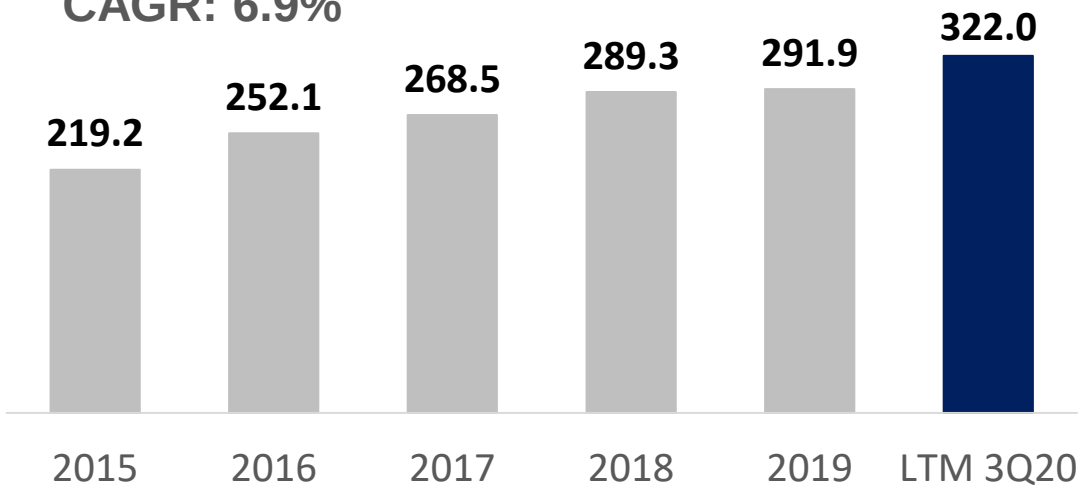
(1) Gross cash flow for the first nine months ended September 30, 2020 before CAPEX, acquisitions, dividends and share buybacks

Sustained Growth in Sales and Profitability

NET SALES

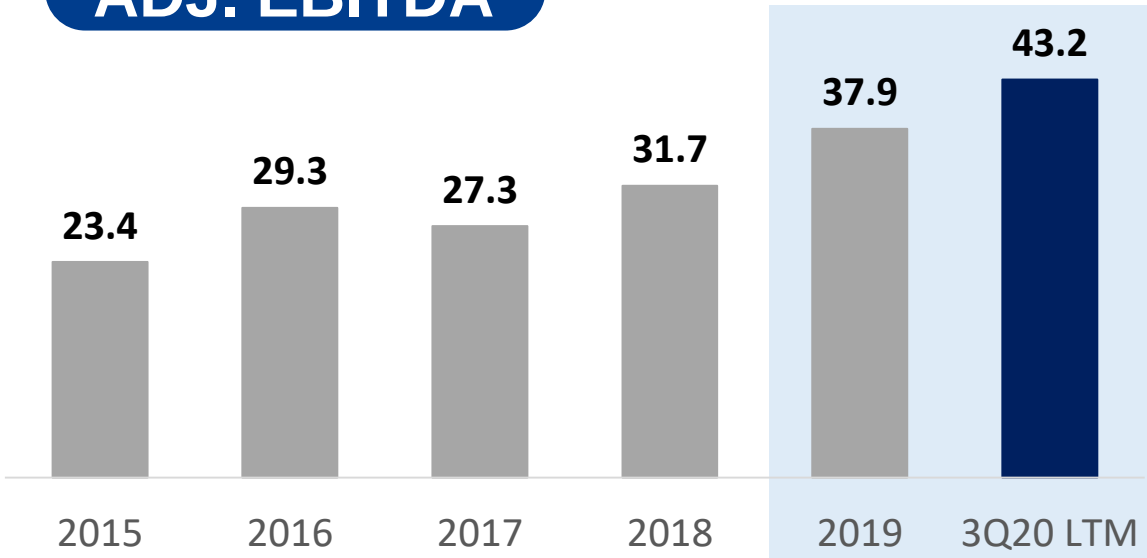
Bn. Mexican pesos

CAGR: 6.9%



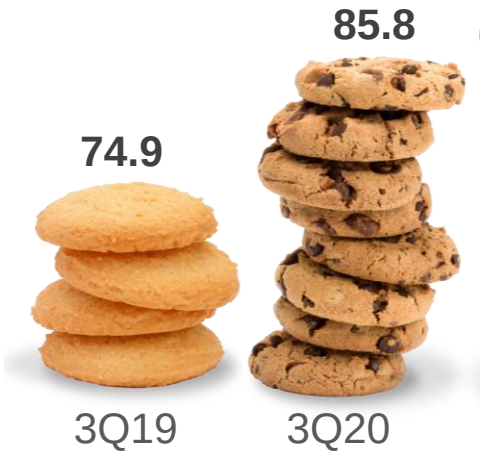
ADJ. EBITDA [1]

Includes effect of IFRS16



QUARTER NET SALES

+14.6%



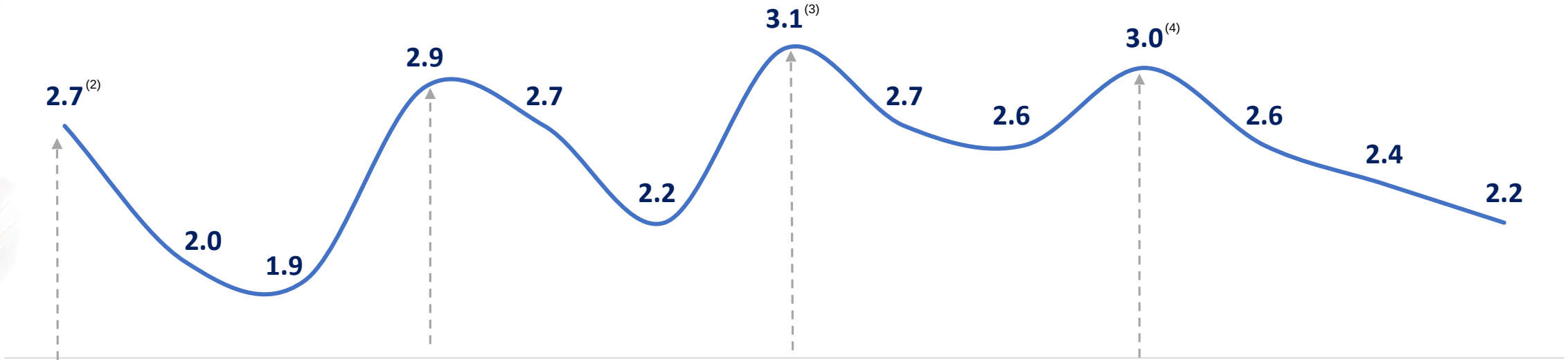
	2015	2016	2017	2018	2019	3Q20 LTM
GB	**10.7%**	**11.6%**	**10.2%**	**10.9%**	**13.0%**	**13.4%**
Mexico	17.6%	19.1%	17.7%	18.2%	20.6%	20.3%
North Am.	8.3%	9.4%	9.2%	9.0%	11.3%	12.3%
LatAm	2.1%	1.0%	1.9%	2.6%	2.2%	4.6%
EAA	-4.4%	1.4%	-8.4%	0.4%	6.3%	6.4%

Record margin levels in North America, LatAm and EAA

Note: Figures in billions of Mexican pesos and CAGR using a 5.75 year period
*(1) 2015-2018 Adj. EBITDA w/o IFRS16: 2019 and **3Q20 LTM Adj. EBITDA with IFRS16***

Proven Ability to Grow with Prudent Leverage

Net Debt / Adj. EBITDA[1]



US$ 2.4 Bn

US$ 709 mm

CAD$ 1.8 Bn

US$ 650 mm

(1) *Adj. EBITDA w/o IFRS16: Earnings before interests, taxes, depreciation, amortization and MEPPs*

(2) *The acquisition of Weston Foods was consummated in January 2009. Leverage ratio giving pro-forma effect to the Weston Foods acquisition as if such acquisition (and the incurrence of the indebtedness thereof) was consummated on December 31, 2008.*

(3) *The acquisition of Canada Bread was consummated in May 2014. Leverage ratio giving pro-forma effect to the Canada Bread acquisition as if such acquisition was consummated on May 31, 2014 and Adjusted EBITDA includes 5 months of the EBITDA reported by Canada Bread for such year.*

(4) *The acquisition of East Balt was consummated in October 2017. Leverage ratio giving pro-forma effect to the East Balt acquisition includes 9.5 months of the EBITDA reported by East Balt for such year (Ps.1,060 million or $56 million converted at the exchange rate of Ps.18.92 per $1 dollar which is the average of the daily exchange rates published by Banco de Mexico for the year ended December 31, 2017). Our Adjusted EBITDA for the year ended December 31, 2017 was Ps.27,289 million*

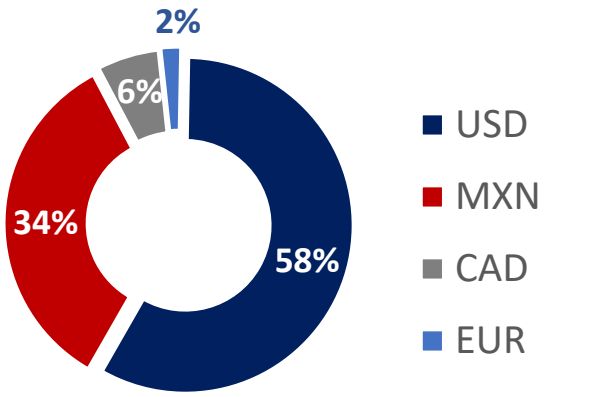
Debt Profile

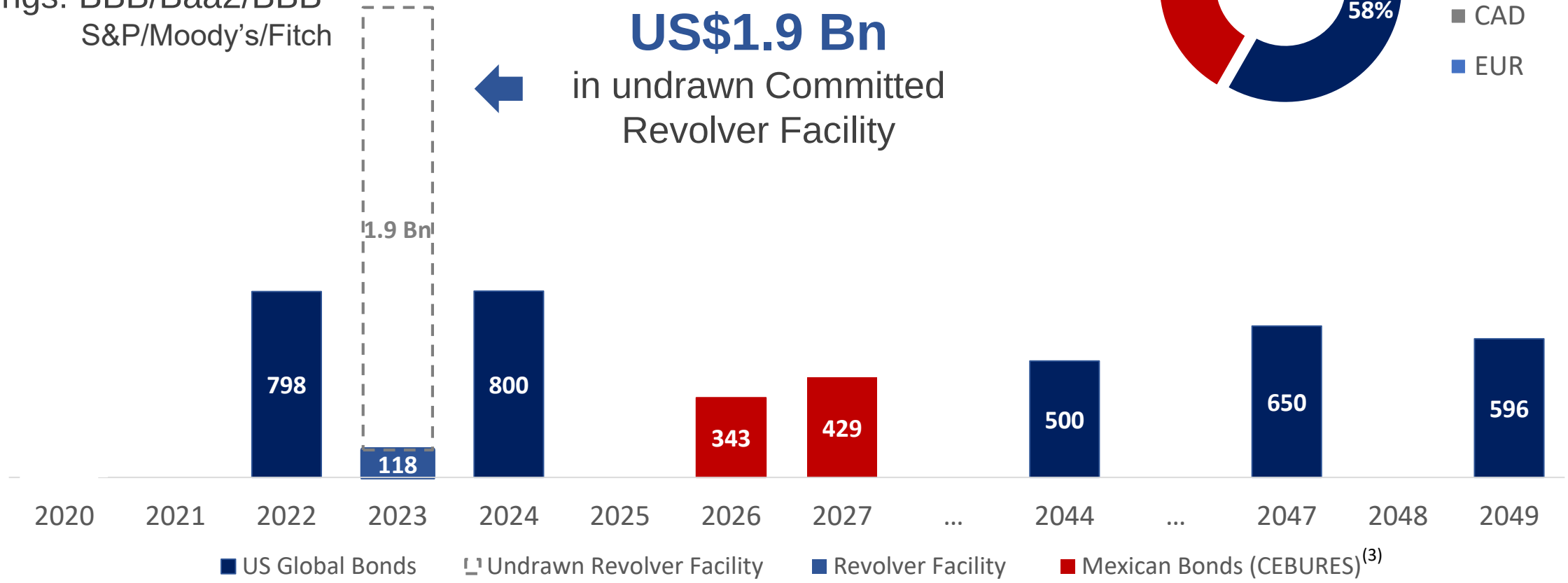
Total Debt: US $4,305 mm (1)

Avg. Tenor: 13.3 yrs.
Avg. Cost: 5.7%
Fixed: 97%, Variable: 3%
Ratings: BBB/Baa2/BBB
S&P/Moody's/Fitch

US$1.9 Bn
in undrawn Committed
Revolver Facility

Debt Split by Currency (2)





Note: Figures in US$ mm as of September 30th, 2020. Debt profile does not include debt at subsidiary level of US$ 95 mm
(1) Net of issuance costs (2) Considers derivatives and withholding tax. (3) "Certificados Bursátiles or Mexican Law Bonds"

Looking Forward

2020 Guidance



Top line growth	Low double-digit
Adj. EBITDA growth	Mid-to-high teens
Tax Rate	Mid-to-high 30’s
Capex	US $550 – 600 mm

In the Face of New Challenges, We Are Stronger

Benefited from being a global and diversifed company in terms of channels, categories and geographies in a resilent industry

Well-established portfolio of brands and responsiveness of our entire value chain

Out **frontline associates** continued to perform with excellence

Captured the opportunities presented by the new consumption trends

Continue to be focused on making the **right investments,** to ensure our **business continuity and success**



GRUPO BIMBO®

NOURISHING A BETTER WORLD



Thank you!

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